

symmetrical triangle, it is best to wait for the actual breakout. If investors had waited for price to close below the pipe, they could have saved themselves from a loss (because the pipe never confirmed as a valid pattern). The pipe shown in the figure is a failure of price to decline. Price reached a high of 60.75 in September, more than double the price where the pipe formed.

Statistics

[Table 50.2](#) lists general statistics for pipe tops.

Number found. I dug up 5,412 pipe tops in 1,176 stocks with the first starting in July 1991 and the most recent in November 2018. Not all stocks covered the entire period, and some no longer trade. Pipes are plentiful (and all were on the weekly charts).

Reversal (R), continuation (C) occurrence. A pipe top acts as a reversal of the prevailing price trend when price enters the pattern from the bottom and leaves by a downward breakout.

[Table 50.2](#) General Statistics

Description	Bull Market	Bear Market
Number found	4,001	1,411
Reversal (R), continuation (C) occurrence	100% R	100% R
Average decline	−19%	−24%
Standard & Poor's 500 change	−2%	−9%
Days to ultimate low	53	39
How many change trend?	38%	52%

Average decline. It's difficult to gauge how well a 19% drop is compared to other chart patterns because only horn tops and pipe tops appear on the weekly scale with downward breakouts.

Let's think about the decline from a different perspective. Is a 19% (bull market) or 24% (bear market) drop large enough for you to want to sell an existing holding? Of course, the results shown are averages and your pipe